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UNITED STATES BANKRUPTCY COURT
FOR THE DISTRICT OF OREGON

In re: KEVIN MARCEL SHEEHY Debtor.	Case No. 25-33351-thp7 Adv. Proc. No. 26-03009-thp Originating Case No. 25-33351-thp7
JAMES DIRKSEN, individually and as the Authorized Representative of the Equity Trust Company James Dirksen IRA 200200966 ("Lender"), Plaintiffs, v. KEVIN SHEEHY, Defendant.	**MOTION TO VACATE ORDER DISMISSING CLAIMS BY PLAINTIFF EQUITY TRUST COMPANY JAMES DIRKSEN IRA 200200966 [ECF 9]**

Plaintiff James Dirksen ("***Dirksen***"), individually and in his capacity as Authorized Representative of the Equity Trust Company James Dirksen IRA 200200966 ("***ETC***"), by and through counsel, respectfully moves this Court for an order vacating the Court's Order dismissing the claims of Equity Trust Company [ECF 9] (the "***Order***"). This motion is made pursuant to Federal Rule of Civil Procedure 60(b).

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Notice. If you oppose the relief sought in this motion, you must file a written objection with the bankruptcy court no later than 14 days after the date listed in the certificate of service below. If you do not file an objection, the court may grant the motion without further notice. Your objection must set forth the specific grounds for objection and your relation to the case. The objection must be received by the clerk of court at 1050 SW 6th Ave #700, Portland, OR 97204 or 405 E 8th Ave #2600, Eugene, OR 97401 by the deadline specified above.

Plaintiff James Dirksen ("Dirksen"), individually and in his capacity as Authorized Representative of the Equity Trust Company James Dirksen IRA 200200966 ("ETC"), by and through counsel, respectfully moves this Court for an order vacating the Court's Order dismissing the claims of Equity Trust Company in an Adversary Proceeding [ECF 5], which set the Pretrial Conference for March 24, 2026, at 10:30 a.m. via telephone.

BACKGROUND

This adversary proceeding was initially filed pro se by Plaintiff James Dirksen, individually and in his capacity as Authorized Representative of Equity Trust Company James Dirksen IRA 200200966 on January 20, 2026 [ECF 1].

On January 27, 2026, The Court issued an Order to Show Cause [ECF 4]. This Order set a 28-day deadline to have an attorney appear on behalf of ETC, file an Amended Complaint, or show cause why the Complaint should not be dismissed.

Also on January 27, 2026, the Court issued a Summons and Notice of Pretrial Conference in an Adversary Proceeding [ECF 5], which set the Pretrial Conference for March 24, 2026, at 10:30 a.m. via telephone.

On February 26, 2026, the Court issued an Order Dismissing Claims by ETC [ECF 9].

Plaintiffs have now retained undersigned counsel, who appears on behalf of both James Dirksen, individually and ETC. Plaintiffs respectfully request that the Court vacate the dismissal order so that this matter may be resolved on its merits.

LEGAL STANDARD

Under Federal Rule of Civil Procedure 60(b), the Court may relieve a party from a final order for reasons including:

- mistake, inadvertence, surprise, or excusable neglect (Rule 60(b)(1)); and
- any other reason that justifies relief (Rule 60(b)(6)).

Courts within the Ninth Circuit strongly favor resolving cases on their merits and apply Rule 60(b) liberally where appropriate, particularly where the moving party acted promptly, the opposing party will not be prejudiced; and the moving party has a potentially meritorious claim.

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LEGAL STANDARD

ARGUMENT

1. The Failure to Retain Counsel and Appear Was the Result of Excusable Neglect

Under Federal Rule of Civil Procedure 60(b), the Court may relieve a party from a final order for

At the time of the Court's order, Mr. Dirksen was proceeding pro se and did not fully

reasons including:

understand the procedural requirement that a business entity must appear through counsel. His

- mistake, inadvertence, surprise, or excusable neglect (Rule 60(b)(1)); and

failure to timely retain counsel and to appear at the show cause hearing was not willful, but the

- any other reason that justifies relief (Rule 60(b)(6)).

result of confusion and lack of legal training. Upon recognizing the seriousness of the issue, he

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promptly retained undersigned counsel. This constitutes excusable neglect under Rule 60(b)(1).

liberally to that end, particularly where the moving party acted promptly, the opposing party will not

be prejudiced, and the motion party has a potentially meritorious claim.

2. Plaintiffs Acted Promptly to Cure the Defect

Following entry of the dismissal order, Mr. Dirksen diligently sought legal

representation. The undersigned counsel was retained on April 15, 2026, and brings this motion

promptly upon appearing in the case.

3. No Prejudice Will Result to Defendant

At the time of the Court's order, Mr. Dirksen was proceeding pro se and did not fully understand the procedural requirement that a business entity must appear through counsel. His failure to timely retain counsel and to appear at the show cause hearing was not willful, but the result of confusion and lack of legal training. Upon recognizing the seriousness of the issue, he promptly retained undersigned counsel. This constitutes excusable neglect under Rule 60(b)(1).

Vacating the dismissal will not prejudice Defendant. This case remains in its early stages, and no substantive rulings on the merits of ETC's claims have been made. Any minimal delay is outweighed by the strong policy favoring resolution on the merits.

4. Equity Trust Company Has Potentially Meritorious Claims

ETC's claims arise out of the same operative facts as those asserted by Mr. Dirksen

individually and are viable causes of action under applicable law. While the merits are not

before the Court at this stage, Plaintiffs submit that the claims are sufficiently substantial to

warrant adjudication.

1. The Failure to Retain Counsel and Appear Was the Result of Excusable Neglect

2. Plaintiffs Acted Promptly to Cure the Defect

Following entry of the dismissal order, Mr. Dirksen diligently sought legal representation. The undersigned counsel was retained on April 15, 2026, and brings this motion promptly upon appearing in the case.

3. No Prejudice Will Result to Defendant

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Vacating the dismissal will not prejudice Defendant. This case remains in its early stages, and no substantive rulings on the merits of ETC's claims have been made. Any minimal delay is outweighed by the strong policy favoring resolution on the merits.

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4. Equity Trust Company Has Potentially Meritorious Claims

5. Relief Is Also Appropriate Under Rule 60(b)(6)

Alternatively, relief is appropriate under Rule 60(b)(6) to prevent manifest injustice. Dismissal based solely on a procedural misstep, which has since been cured, would result in an inequitable forfeiture of claims without consideration of their merits.

ETC's claims arise out of the same operative facts as those asserted by Mr. Dirksen individually and are viable causes of action under applicable law. While the merits are not before the Court at this stage, Plaintiffs submit that the claims are sufficiently substantial to warrant adjudication.

CONCLUSION

5. Relief Is Also Appropriate Under Rule 60(b)(6)

For the foregoing reasons, Plaintiffs respectfully request that the Court:

1. Vacate the Order dismissing the claims of ETC;
2. Permit ETC to proceed through undersigned counsel; and
3. Grant such other relief as the Court deems just and proper.

DATED April 22, 2026

CONCLUSION

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Alternatively, relief is appropriate under Rule 60(b)(6) to prevent manifest injustice. Dismissal based solely on a procedural misstep, which has since been cured, would result in an inequitable forfeiture of claims without consideration of their merits.

For the foregoing reasons, Plaintiffs respectfully request that the Court:

1. Vacate the Order dismissing the claims of ETC;
2. Permit ETC to proceed through undersigned counsel; and
3. Grant such other relief as the Court deems just and proper.

DATED April 22, 2026

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CERTIFICATE OF SERVICE

CERTIFICATE OF SERVICE

I hereby certify that on the date below I served the foregoing MOTION TO VACATE [ECF 9] ORDER DISMISSING CLAIMS BY PLAINTIFF EQUITY TRUST COMPANY JAMES DIRKSEN IRA 200209966 on the parties listed below by electronic means through the Court's Case Management/Electronic Case File system on the date set forth below:

I hereby certify that on the date below I served the foregoing **MOTION TO VACATE [ECF 9] ORDER DISMISSING CLAIMS BY PLAINTIFF EQUITY TRUST COMPANY JAMES DIRKSEN IRA 200209966** on the parties listed below by electronic means through the Court's Case Management/Electronic Case File system on the date set forth below:

- **NATALIE C SCOTT ecf@scott-law-group.com**

NATALIE C SCOTT, ecf@scott-law-group.com

Dated: April 22, 2026.

Dated: April 22, 2026.

/s/ Nicholas J. Henderson

Nicholas J. Henderson, OSB No. 074027

Attorney for Plaintiffs

/s/ Nicholas J. Henderson

Nicholas J. Henderson, OSB No. 074027

Attorney for Plaintiffs

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